# IREN Limited | Full investment review

NASDAQ: IREN | 5 November 2026 | Framework 8.0 | Financial amounts in USD millions unless stated

## Current investment view

IREN owns land, power connections, data centers and a growing GPU cloud platform. Its accepted capacity, multi-year contracts and customer advances create a substantial AI infrastructure opportunity. Shareholder capture depends on commissioning, equipment depreciation, the pace of borrowing and the amount of common equity needed to sustain the buildout.

The active Q4 2027 calculated ceiling is $44.09 per economic share. It values Q4 2027 through Q3 2028 under the established 20× adjusted operating-profit convention. The forecast includes a large operational ramp, finite conditional credit and substantial future share issuance. The model assigns numerical probabilities to deployment, pricing and reliability outcomes before weighting their per-share values.

Analytical Base is 67/100, derived from 40/60 points. Protected Excel Base is 67/100. The existing schedule uses 5× forward-four-quarter revenue for Q4 2026 and 20× adjusted operating profit from Q1 2027. All 30 million NVIDIA investment rights enter the economic denominator with zero assumed exercise proceeds. Cash, debt service and dilution remain explicit alongside the operating-equity valuation proxy.

December-quarter cloud revenue anchors near $250 million. The more than $4 billion operating-ARR milestone targets January 31, with possible extension into February. The model keeps ARR, customer acceptance, recognized sales and cash receipts as separate quantities. Later deployment requires continued financing and disciplined project pacing.

Classification: temporal capacity enabler in AI compute and data-center power. The investment window centers on converting secured physical infrastructure into accepted, funded customer capacity. The model caps later commissioned capacity at 650/800/1000 IT MW across its joint funding/execution states.

# 1. Reported results and accounting anchor

Q1 FY2027 ended September 30, 2026, corresponding to calendar Q3 2026. The issuer now presents whole USD millions. The separate reported-results anchor records those actuals while earlier published forecast displays retain their original vintage.

| Q1 FY2027 reported item | USD M |
|---|---|
| AI Cloud Services revenue | 135 |
| AI Cloud Lease revenue | 65 |
| Bitcoin Mining revenue | 28 |
| Total revenue | 228 |
| Direct cost, excluding D&A | 46 |
| Segment gross profit, before D&A and site costs | 182 |
| Cash SG&A plus R&D | 118 |
| Stock compensation | 106 |
| Depreciation and amortization | 148 |
| GAAP operating loss | -186 |
| Adjusted EBITDA | 66 |
| Net loss | -263 |
| Operating cash flow | 529 |
| Cash-flow increase in deferred revenue | 645 |

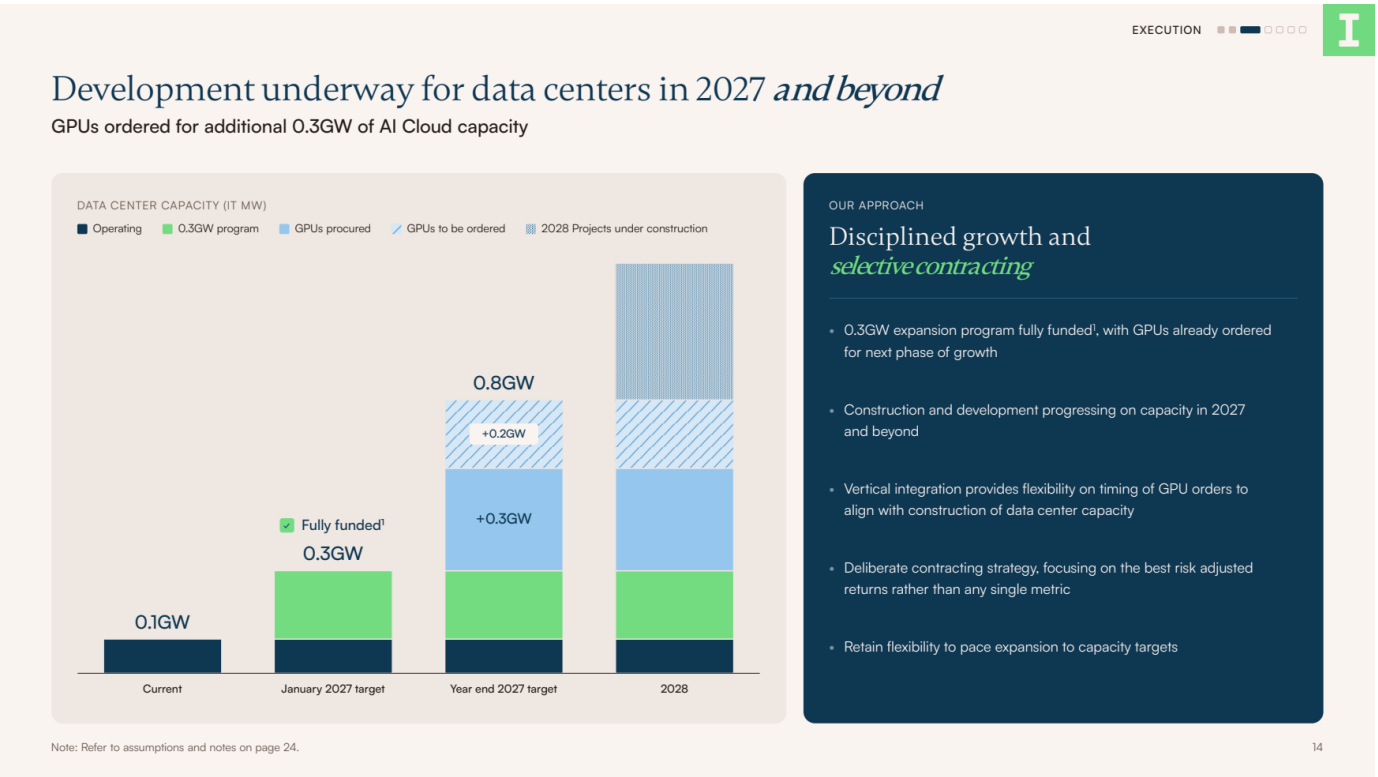
The 86% AI Cloud segment margin excludes depreciation and site-level insurance, property tax, renewable-energy certificates, sales tax and other SG&A. The model carries those costs separately. The $65 million lease-revenue line includes $49 million fixed or in-substance fixed revenue and $16 million subject to availability conditions. Lease assets remain in PP&E and continue depreciating.

Reported operating cash includes advance customer funding. Removing the $645 million deferred-revenue cash movement gives approximately negative $116 million before other classification or timing adjustments. Customer advances fund assets and future service obligations; their later amortization reduces cash collected against recognized revenue.

# 2. Management guidance and customer acceptance

| Latest management statement | Model treatment |
|---|---|
| More than $4 bn ARR; fully contracted; January 31 target, possibly end February | January 65% / February 35% timing; acceptance-weighted revenue |
| December cloud revenue approximately one quarter of $1 bn ARR | $250 m before bounded service credits |
| December cash SG&A/R&D increases $50–60 m from $118 m | $173 m fixed near-term opex anchor |
| Initial 0.3 GW IT program funded subject to facility/escrow conditions | Current cash, restricted release and committed draws counted once |
| 0.8 GW data-center capacity target by end 2027 | Joint execution/funding states; GPU commissioning remains separate |
| GPUs ordered for an additional 0.3 GW;0.2 GW still to order | Procurement timing, capital cash and equipment CIP constrain output |

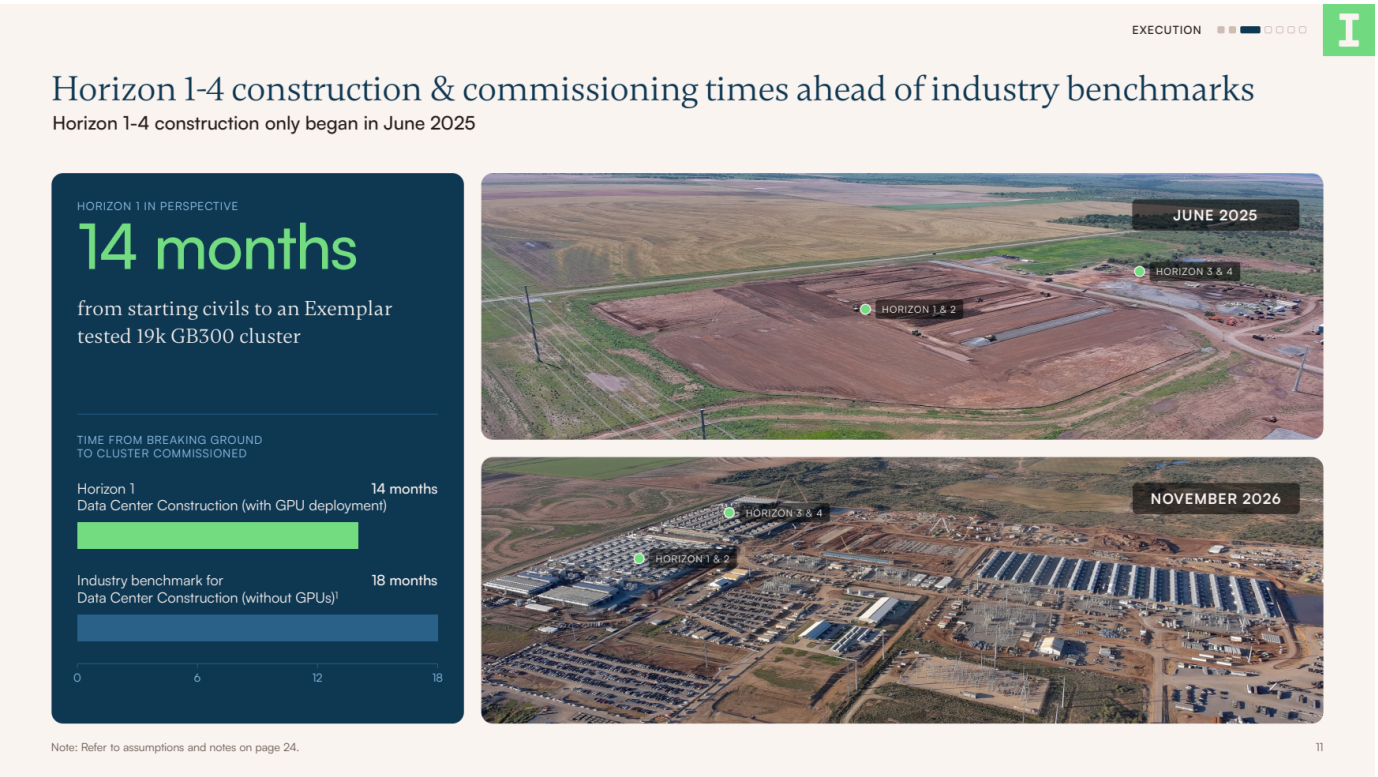
The January and February cases allocate two-thirds and one-third of the incremental first-quarter contribution respectively. Microsoft and initial Other AI retain distinct acceptance and contract-price schedules. The model includes a 2% recognized-revenue realization allowance after December. ARR remains an operating run-rate metric with separate GAAP measurement effects.




*Issuer Q1 FY2027 presentation, page 14: current capacity, the funded 0.3 GW program and the wider 0.8 GW data-center roadmap.*

# 3. Construction and operating delivery

Horizon 1 has been delivered to Microsoft and achieved NVIDIA Exemplar status. Horizons 2 and 3 have powered halls and deployed or on-site GPUs, while Horizon 4 deliveries continue. The current management call describes a customer-requested network upgrade across the 200 MW Microsoft program. The commissioning schedule includes cabling, testing, software integration and customer acceptance.




*Issuer presentation, page 11: Horizon construction sequence and on-site photographs as of November 2026.*

# Construction and commissioning | campus stages

The issuer's campus-stage exhibit separates procurement, civil works, power, networking, GPU deployment and customer handover. Those steps constrain the sequence of revenue recognition.




*Issuer presentation, page 12: project stages by campus. A completed physical step has a distinct revenue-acceptance milestone.*

# 4. Business model, pricing and the AI buildout

AI training and inference require dependable power, dense compute, storage, networking and software. IREN participates across all three physical/commercial layers. Secured connections reduce one source of delay; GPU delivery, cooling, network integration, skilled labor and available capital still constrain monetization.

The commercial stack includes Microsoft, NVIDIA, a leading frontier AI lab and other developers and channel customers. Mirantis supplies orchestration, support and cloud software capabilities. Its fiscal 2027 revenue is expected to be immaterial separately and stays embedded in cloud economics. The 20.3 billion backlog combines ASC606 remaining performance obligations, lease arrangements and other committed amounts with delivery/availability conditions.



CONTRACTING

## Illustrative *contract economics*

Customer prepayments can cut IREN's funding requirements and accelerate cash paybacks

Illustrative 5 Year Contract Economics[1]

| PER IT-MW | NO PREPAY | 50% GPU CAPEX PREPAY[3] | POST QUARTER END DEAL PREPAY %[2] 90% GPU CAPEX PREPAY[3] |
|---|---|---|---|
| Revenue per year | $20M | $20M | $20M |
| Data center capex | $20M | $20M | $20M |
| GPU capex | $40M | $40M | $40M |
| Customer prepayment | — | ($20M) | ($36M) |
| GPU cash payback[4] | 2.4 yrs | 1.5 yrs | 0.4 yrs |
| GPU + Data center cash payback[5] | 3.5 yrs | 3.1 yrs | 2.4 yrs |

Reflects high-density liquid-cooled deployments; air-cooled deployments carry substantially lower capex

Note: Refer to assumptions and notes on page 24.



9

*Issuer presentation, page 9: illustrative five-year contract economics. The model uses the stated 40 m GPU and 20 mdata-center cost per IT MW as marginal planning anchors; actual contract volumes and economics vary.*

Three-year contracts signed during the quarter imply $19–23 million annual revenue per IT MW and five-year contracts about $17 million. Post-quarter examples include a five-year contract around $22 million and a 3–6 month contract at $40 million. The forecast applies incremental-capacity rates of $20 million or $23.8 million; the latter approximates 90% at 22 plus 10% at 40. Existing Microsoft pricing stays at $9.6 million annual revenue per IT MW.

# 5. Numerical probabilities and overlap

| Model axis / signal | Probability | Conditional economics |
|---|---|---|
| Initial 0.3 GW acceptance | January 65%; February 35% | Different recognized-quarter contributions; same funded-program envelope |
| Joint funding and execution | Central 55%; faster 25%; tight 20% | Capacity, costs, credit/prepay terms, interest, issue price and capital headroom stay correlated |
| Incremental pricing | Contract-led 65%; tight-supply 35% | $20 m or $23.8 m annual revenue/IT MW on expansion only |
| Legacy Canadian reliability | 35% | 4% credits onmin(50% initial Other AI,250 m)times phase;5% variable cost saved |
| Conditional remediation cost | Within same 35% branch | 2% ofcohort after Q4; first-quarter cost absorbed in cash opex |
| Exceptional 90% GPU prepayment deal | Confirmed terms;5/15 MW modeled exposure | Finite advance on the specific small cohort; future general advances 35–55% are assumptions |

The four axes form 24 coherent leaves. Probabilities persist across each leaf's quarterly path. Per-share valuations use that leaf's cash-driven equity issuance before probability weighting. The financial state removes overlapping risk discounts, and fixed opex includes the support platform before any bounded incremental repair expense.

H100 repricing, the frontier-lab expansion and the new five-year contract inform the same customer/capacity ledger. They receive no additional independent revenue pool. The $40 million short-term example has a bounded allocation in the higher-price branch. Power-density technology receives zero separate incremental revenue until capacity, hardware and financing are quantified.

The 35 GW development pipeline is speculative and receives zero revenue. Secured power above 5 GW and the 2 GW Sweetwater hub are overlapping capacity envelopes. The long-term model uses a fraction of secured infrastructure and caps later deployment pending further evidence. Previously confirmed customer advances already satisfy the first-prepayment scoring rule, so this review adds zero duplicate prepayment bonus.

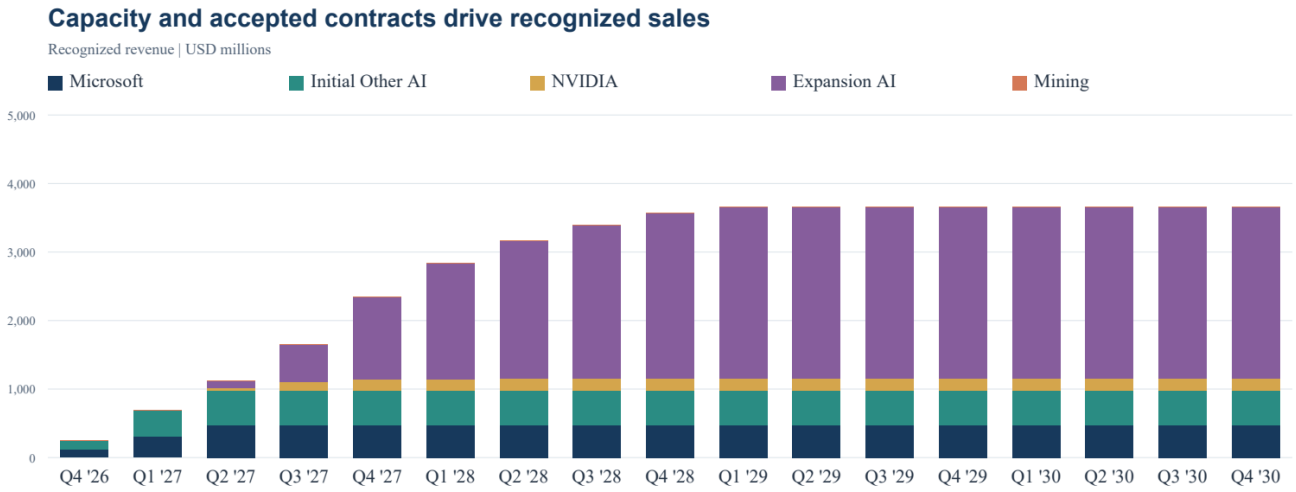
# 6. Analytical score and counter-evidence

| Category | Points | Evidence and limitation |
|---|---|---|
| Core thesis | 12/20 | Owned power/infrastructure and accepted GPU cloud contracts support capture; depreciation and funding constrain returns |
| Cycle stage | 10/10 | AI compute demand and observed commissioning are commercial |
| TAM expansion | 7/10 | Training, inference and software services expand uses; no duplicated capacity or revenue wallet |
| Catalysts | 5/5 | January/February acceptance, new GPU delivery, pricing and funded construction |
| Macro | 9/10 | AI infrastructure demand supports the cycle; customer capex and electricity/regulation vary |
| Alpha | 2/5 | Timing, financing and accounting decomposition provide the thesis |
| Risk deductions | -5 | Execution; financing/dilution; reliability/customer concentration; equipment obsolescence; grid/regulatory/competitive risk |
| Total | 40/60 =67 | Protected Excel Base 67 retained |

The scope of funded capacity, the speed of equipment repayment and the need for future common equity carry substantial uncertainty. Customer renewals, investment-grade backlog and Exemplar certification provide positive evidence. Those signals coexist with a changed acceptance timetable and supplier/network work. The selected score follows the framework category arithmetic.

# 7. Product revenue and company capture

All quarterly values below are model forecasts. Microsoft's 200 MW cohort uses the retained contract economics. Initial Other AI reaches 100 MW, and the NVIDIA cohort reaches 40 MW at $17.5 million annual revenue per IT MW. Expansion uses remaining commissioned capacity and its selected price branch. Mining contributes $10 million in December and zero thereafter.

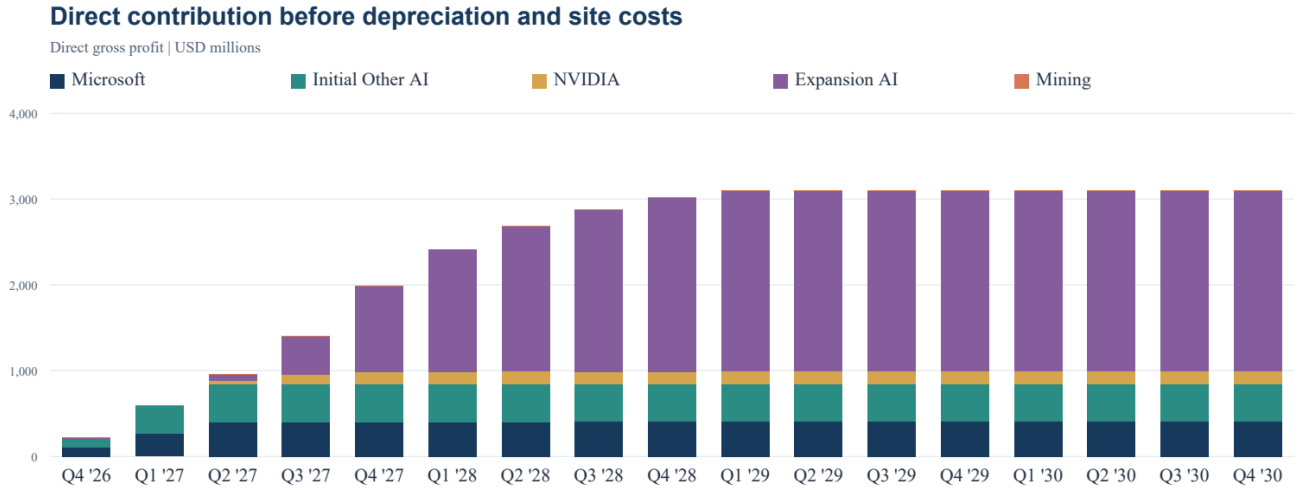



*Recognized revenue by non-overlapping customer/business cohort. Numerical data follow directly below.*

| Calendar | Microsoft | Initial Other | NVIDIA | Expansion | Mining | Total |
|---|---|---|---|---|---|---|
| Q4 '26 | 120.0 | 129.1 | 0.0 | 0.0 | 10.0 | 259.1 |
| Q1 '27 | 311.6 | 376.2 | 0.0 | 0.0 | 0.0 | 687.9 |
| Q2 '27 | 470.4 | 506.1 | 42.9 | 95.4 | 0.0 | 1,114.7 |
| Q3 '27 | 470.4 | 506.1 | 128.6 | 539.6 | 0.0 | 1,644.7 |
| Q4 '27 | 470.4 | 506.1 | 171.5 | 1,191.8 | 0.0 | 2,339.8 |
| Q1 '28 | 470.4 | 507.0 | 171.5 | 1,692.1 | 0.0 | 2,841.0 |
| Q2 '28 | 470.4 | 507.9 | 171.5 | 2,019.8 | 0.0 | 3,169.5 |
| Q3 '28 | 470.4 | 508.7 | 171.5 | 2,239.9 | 0.0 | 3,390.6 |
| Q4 '28 | 470.4 | 509.6 | 171.5 | 2,417.9 | 0.0 | 3,569.4 |
| Q1 '29 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q2 '29 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q3 '29 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q4 '29 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q1 '30 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q2 '30 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q3 '30 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |
| Q4 '30 | 470.4 | 509.6 | 171.5 | 2,506.3 | 0.0 | 3,657.8 |

# 8. Direct contribution and operating support

The model applies an 86% direct margin to established AI cohorts,84% to incremental capacity and 30% to residual mining. These contribution measures exclude depreciation and site/corporate costs. Cash SG&A/R&D equals the fixed schedule plus 8% of cloud revenue above 250 million, with bounded reliability remediation added once.

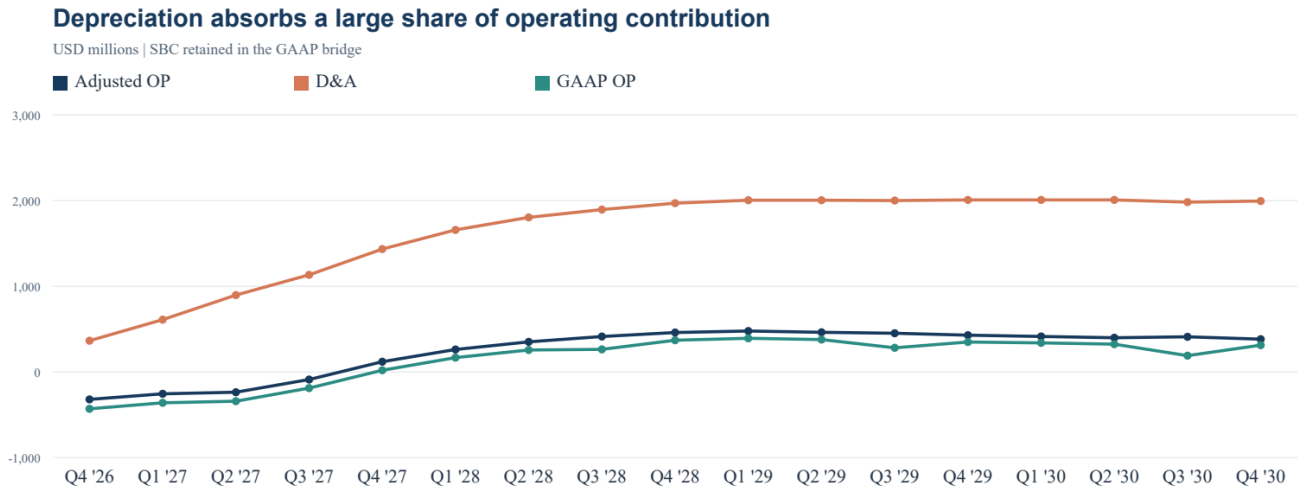



*Direct gross contribution by modeled cohort, before D&A and site/corporate operating expense.*

| Calendar | Microsoft | Initial Other | NVIDIA | Expansion | Mining | Direct GP |
|---|---|---|---|---|---|---|
| Q4 '26 | 103.2 | 110.9 | 0.0 | 0.0 | 3.0 | 217.1 |
| Q1 '27 | 268.0 | 323.3 | 0.0 | 0.0 | 0.0 | 591.3 |
| Q2 '27 | 404.5 | 434.9 | 36.9 | 80.1 | 0.0 | 956.5 |
| Q3 '27 | 404.5 | 434.9 | 110.6 | 453.2 | 0.0 | 1,403.3 |
| Q4 '27 | 404.5 | 434.9 | 147.5 | 1,001.1 | 0.0 | 1,988.0 |
| Q1 '28 | 404.5 | 435.8 | 147.5 | 1,421.4 | 0.0 | 2,409.2 |
| Q2 '28 | 404.5 | 436.6 | 147.5 | 1,696.6 | 0.0 | 2,685.3 |
| Q3 '28 | 404.5 | 437.4 | 147.5 | 1,881.5 | 0.0 | 2,871.0 |
| Q4 '28 | 404.5 | 438.3 | 147.5 | 2,031.0 | 0.0 | 3,021.3 |
| Q1 '29 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q2 '29 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q3 '29 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q4 '29 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q1 '30 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q2 '30 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q3 '30 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |
| Q4 '30 | 404.5 | 438.3 | 147.5 | 2,105.3 | 0.0 | 3,095.6 |

# 9. Depreciation, recurring costs and profit

Opening net PP&E is 12,344 million. The asset allocation keeps GPU cost/net book value, GPU CIP, buildings, construction, land and residual equipment separate. Existing GPUs use 5819 million gross cost and 5500 million net book value; new GPUs depreciate over 20 quarters. Buildings use 80 quarters. New assets incur half-quarter depreciation on commissioning. Capital under construction earns no depreciation before service availability.



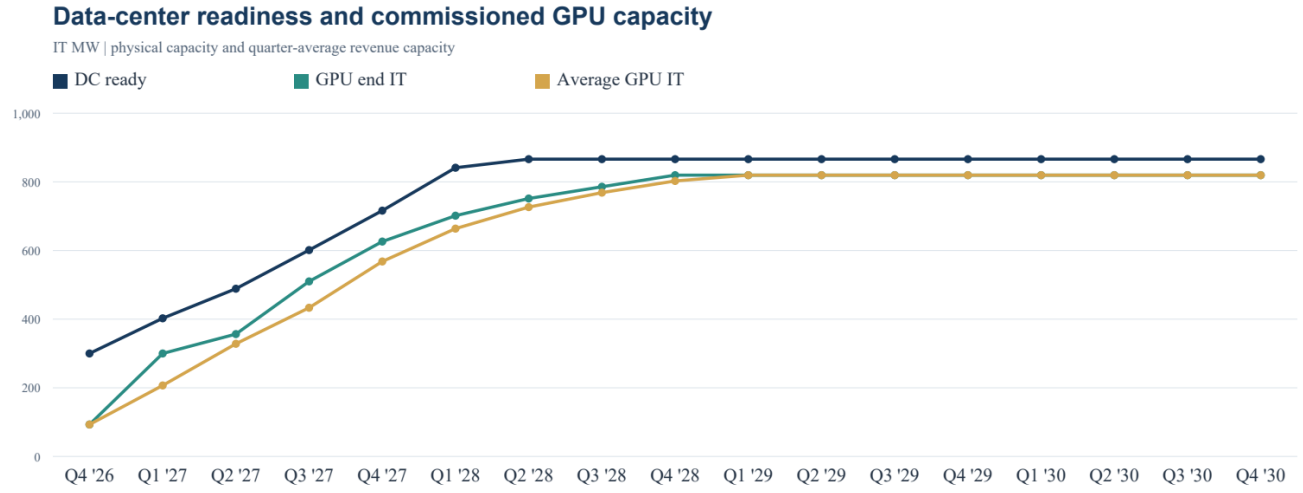

*The complete profit bridge includes recurring equipment depreciation, cash opex and compensation.*

| Calendar | Direct GP | Cash opex | D&A | Adjusted OP | SBC | GAAP OP |
|---|---|---|---|---|---|---|
| Q4 '26 | 217.1 | 173.0 | 364.7 | -320.5 | 110.0 | -430.5 |
| Q1 '27 | 591.3 | 236.4 | 610.4 | -255.4 | 105.0 | -360.4 |
| Q2 '27 | 956.5 | 295.9 | 897.3 | -236.8 | 105.0 | -341.8 |
| Q3 '27 | 1,403.3 | 358.3 | 1,133.7 | -88.7 | 100.0 | -188.7 |
| Q4 '27 | 1,988.0 | 433.9 | 1,434.6 | 119.5 | 100.0 | 19.5 |
| Q1 '28 | 2,409.2 | 488.6 | 1,658.5 | 262.1 | 95.0 | 167.1 |
| Q2 '28 | 2,685.3 | 529.4 | 1,804.6 | 351.2 | 95.0 | 256.2 |
| Q3 '28 | 2,871.0 | 561.7 | 1,895.8 | 413.6 | 90.0 | 263.6 |
| Q4 '28 | 3,021.3 | 590.5 | 1,970.5 | 460.3 | 90.0 | 370.3 |
| Q1 '29 | 3,095.6 | 612.6 | 2,005.1 | 477.9 | 85.0 | 392.9 |
| Q2 '29 | 3,095.6 | 627.6 | 2,005.1 | 462.9 | 85.0 | 377.9 |
| Q3 '29 | 3,095.6 | 642.6 | 2,001.2 | 451.8 | 80.0 | 281.8 |
| Q4 '29 | 3,095.6 | 657.6 | 2,008.7 | 429.3 | 80.0 | 349.3 |
| Q1 '30 | 3,095.6 | 672.6 | 2,008.7 | 414.3 | 75.0 | 339.3 |
| Q2 '30 | 3,095.6 | 687.6 | 2,008.7 | 399.3 | 75.0 | 324.3 |
| Q3 '30 | 3,095.6 | 702.6 | 1,982.8 | 410.2 | 70.0 | 190.2 |
| Q4 '30 | 3,095.6 | 717.6 | 1,995.3 | 382.7 | 70.0 | 312.7 |

The retained valued metric is adjusted EBITDA less D&A. GAAP operating profit additionally includes recurring stock compensation and modeled refresh writeoffs. Both are displayed. This preserves the existing company valuation basis and exposes the fully expensed accounting bridge.

# 10. Commissioned capacity and recognized revenue

Installed data-center capacity and commissioned GPU capacity follow separate limits. GPU additions require both paid/procured equipment and ready site capacity. Average operating MW determines recognized revenue. A fixed capital program can leave considerable hardware in CIP while customer acceptance proceeds.

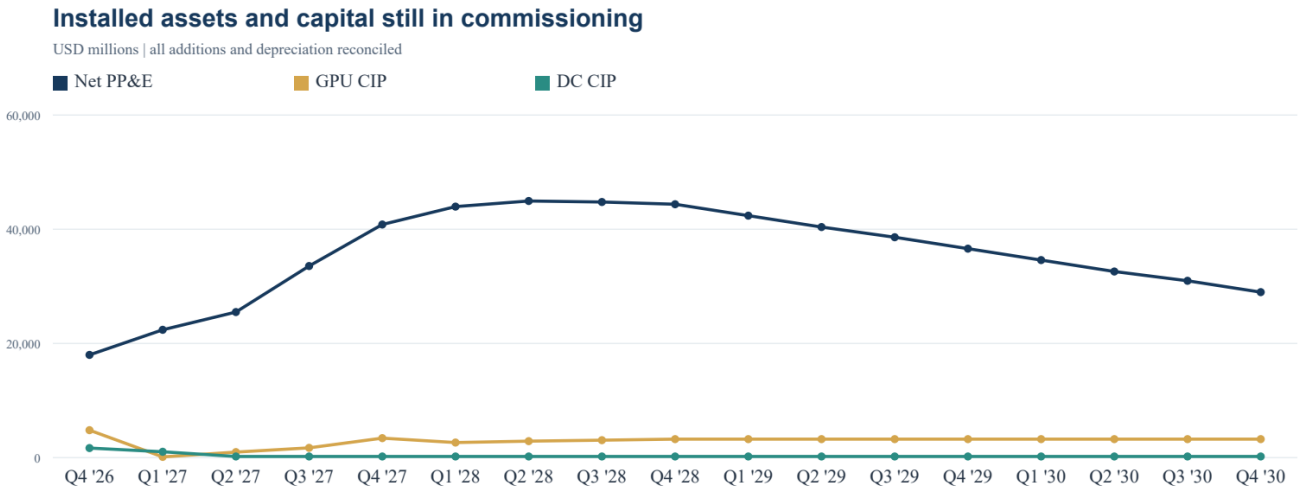



*Probability-weighted readiness and operating capacity. Every individual outcome satisfies GPU capacity at or below ready data-center capacity.*

| Calendar | Avg GPU IT | End GPU IT | Ready DC IT | GPU cost/MW | New GPU commissioned | New DC commissioned |
|---|---|---|---|---|---|---|
| Q4 '26 | 93.0 | 93.0 | 300.0 | 40.0 | 0.0 | 4,140.0 |
| Q1 '27 | 206.9 | 300.0 | 402.5 | 40.0 | 8,280.0 | 2,050.0 |
| Q2 '27 | 328.2 | 356.5 | 488.7 | 40.0 | 2,260.0 | 1,724.4 |
| Q3 '27 | 433.3 | 510.0 | 601.2 | 40.8 | 6,196.0 | 2,250.0 |
| Q4 '27 | 568.1 | 626.1 | 716.2 | 40.8 | 4,700.0 | 2,300.0 |
| Q1 '28 | 663.8 | 701.5 | 841.2 | 40.8 | 3,056.0 | 2,500.0 |
| Q2 '28 | 726.5 | 751.5 | 866.2 | 40.8 | 2,040.0 | 500.0 |
| Q3 '28 | 768.6 | 785.7 | 866.2 | 40.8 | 1,402.0 | 0.0 |
| Q4 '28 | 802.7 | 819.6 | 866.2 | 40.8 | 1,386.0 | 0.0 |
| Q1 '29 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q2 '29 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q3 '29 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q4 '29 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q1 '30 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q2 '30 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q3 '30 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |
| Q4 '30 | 819.6 | 819.6 | 866.2 | 40.8 | 0.0 | 0.0 |

# 11. Asset and capital expenditure build

Remaining FY27 cashcapex is 15,000 million, comprising 11,000 million hardware and 4,000 million infrastructure in the model. Opening capital payables are a 2,000 million proxy from total payables 2,583 million and remain constant as invoices settle and new purchases replace them. Net paydown sensitivities below test that assumption. A new procurement buffer and scheduled refresh payments fund equipment availability without adding free operating MW.

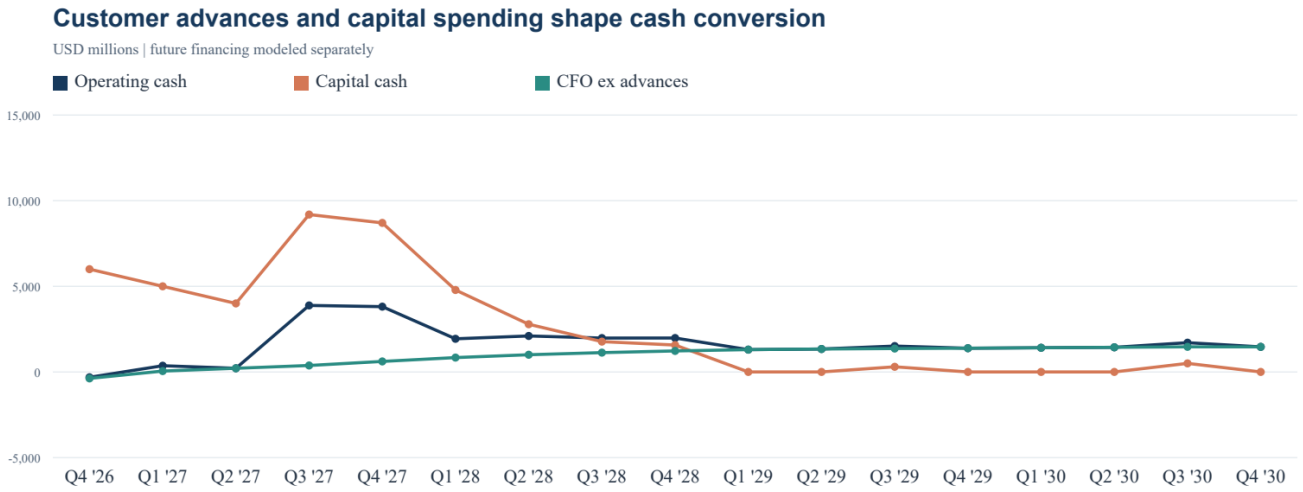



*PP&E additions, service transfers, depreciation and retirement charges reconcile each quarter.*

| Calendar | Net PP&E | GPU in service | GPU CIP | DC in service | DC CIP | Capex cash |
|---|---|---|---|---|---|---|
| Q4 '26 | 17,985.0 | 5,209.1 | 4,800.0 | 5,763.5 | 1,668.0 | 6,000.0 |
| Q1 '27 | 22,380.4 | 12,991.1 | 120.0 | 7,727.3 | 1,018.0 | 5,000.0 |
| Q2 '27 | 25,488.6 | 14,489.7 | 960.0 | 9,341.9 | 193.6 | 4,000.0 |
| Q3 '27 | 33,550.2 | 19,712.8 | 1,703.5 | 11,457.3 | 193.6 | 9,189.5 |
| Q4 '27 | 40,823.3 | 23,167.6 | 3,405.4 | 13,594.2 | 193.6 | 8,701.9 |
| Q1 '28 | 43,955.4 | 24,784.4 | 2,634.2 | 15,901.1 | 193.6 | 4,784.8 |
| Q2 '28 | 44,941.3 | 25,257.9 | 2,879.0 | 16,189.3 | 193.6 | 2,784.8 |
| Q3 '28 | 44,763.5 | 25,147.3 | 3,047.3 | 15,974.4 | 193.6 | 1,770.2 |
| Q4 '28 | 44,371.1 | 24,806.0 | 3,231.5 | 15,759.4 | 193.6 | 1,570.2 |
| Q1 '29 | 42,373.7 | 23,044.1 | 3,231.5 | 15,544.5 | 193.6 | 0.0 |
| Q2 '29 | 40,376.4 | 21,282.2 | 3,231.5 | 15,329.5 | 193.6 | 0.0 |
| Q3 '29 | 38,592.9 | 19,734.2 | 3,231.5 | 15,114.6 | 193.6 | 300.0 |
| Q4 '29 | 36,591.9 | 17,968.7 | 3,231.5 | 14,899.7 | 193.6 | 0.0 |
| Q1 '30 | 34,591.0 | 16,203.1 | 3,231.5 | 14,684.7 | 193.6 | 0.0 |
| Q2 '30 | 32,590.0 | 14,437.6 | 3,231.5 | 14,469.8 | 193.6 | 0.0 |
| Q3 '30 | 30,965.0 | 13,048.0 | 3,231.5 | 14,254.8 | 193.6 | 500.0 |
| Q4 '30 | 28,977.4 | 11,295.9 | 3,231.5 | 14,039.9 | 193.6 | 0.0 |

# 12. Cash conversion and customer advances

Receivables use 30 days for cloud revenue and 15 days for residual mining. Operating payables follow 80% ofdirect costs plus cash opex. Advance receipts increase deferred revenue; amortization reduces future customer cash collected against recognized sales. A financing component accrues separately in finance expense and deferred revenue. The model uses no unverified NOLcash-tax credit.

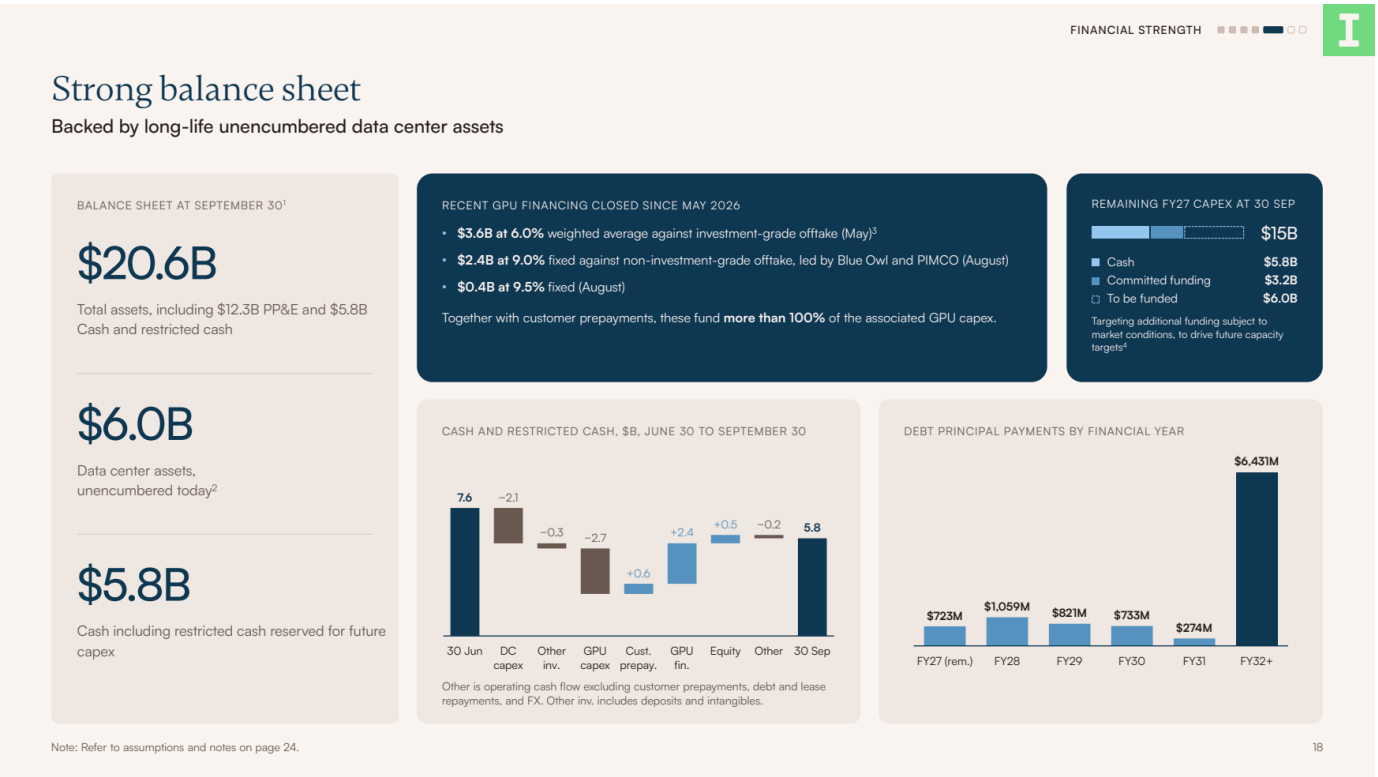



*Operating cash, customer-advance dependence and capital spending. Required debt/equity funding appears in the next section.*

| Calendar | CFO | New advances | CFO ex advances | Capex | FCF | FCF ex advances |
|---|---|---|---|---|---|---|
| Q4 '26 | -312.2 | 65.0 | -377.2 | 6,000.0 | -6,312.2 | -6,377.2 |
| Q1 '27 | 362.6 | 312.1 | 50.4 | 5,000.0 | -4,637.4 | -4,949.6 |
| Q2 '27 | 213.8 | 0.0 | 213.8 | 4,000.0 | -3,786.2 | -3,786.2 |
| Q3 '27 | 3,883.1 | 3,506.3 | 376.8 | 9,189.5 | -5,306.4 | -8,812.7 |
| Q4 '27 | 3,811.9 | 3,198.3 | 613.6 | 8,701.9 | -4,890.0 | -8,088.3 |
| Q1 '28 | 1,934.8 | 1,096.5 | 838.3 | 4,784.8 | -2,850.0 | -3,946.5 |
| Q2 '28 | 2,101.1 | 1,096.5 | 1,004.6 | 2,784.8 | -683.7 | -1,780.2 |
| Q3 '28 | 1,977.9 | 850.5 | 1,127.4 | 1,770.2 | 207.6 | -642.8 |
| Q4 '28 | 1,980.6 | 754.0 | 1,226.6 | 1,570.2 | 410.3 | -343.7 |
| Q1 '29 | 1,302.3 | 0.0 | 1,302.3 | 0.0 | 1,302.3 | 1,302.3 |
| Q2 '29 | 1,339.7 | 0.0 | 1,339.7 | 0.0 | 1,339.7 | 1,339.7 |
| Q3 '29 | 1,511.0 | 144.8 | 1,366.2 | 300.0 | 1,211.0 | 1,066.2 |
| Q4 '29 | 1,385.2 | 0.0 | 1,385.2 | 0.0 | 1,385.2 | 1,385.2 |
| Q1 '30 | 1,411.8 | 0.0 | 1,411.8 | 0.0 | 1,411.8 | 1,411.8 |
| Q2 '30 | 1,438.0 | 0.0 | 1,438.0 | 0.0 | 1,438.0 | 1,438.0 |
| Q3 '30 | 1,707.8 | 241.3 | 1,466.6 | 500.0 | 1,207.8 | 966.6 |
| Q4 '30 | 1,464.8 | 0.0 | 1,464.8 | 0.0 | 1,464.8 | 1,464.8 |

# 13. Funding scope and financial capacity

At September 30, unrestricted cash was 3522 million and restricted cash 2256 million. The approximately 9000 million funding figure combines that 5778 million cash with undrawn commitments and contractual advances. Existing undrawn facilities total 3157 million;65 million of unreceived advances is a rounded planning residual. These sources enter once, with restricted releases and draw conditions.



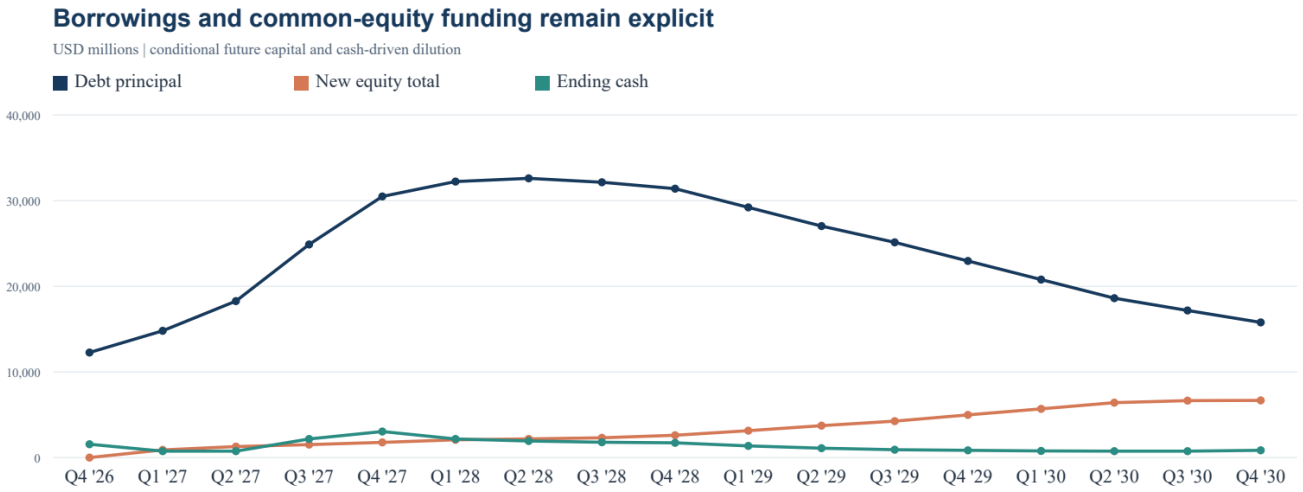

*Issuer presentation, page 18: balance-sheet cash, debt principal schedule and the remaining FY27 funding envelope.*

The funded 0.3 GW program and the additional 0.8 GW data-center target carry different capital requirements. Management identifies 6000 million of additional targeted funding for remaining FY27 capex, subject to market conditions. Future loan draws, facilities, advances and common-equity proceeds are conditional model inputs with fees, interest and principal repayments.

December-quarter cash includes the subsequently issued 630 million gross ATM proceeds after 2% fees and the 50 million September equity receivable collected subsequently. The latest 424.357381 million ordinary-share count already includes those issued shares; the model adds their cash without reissuing the shares.

# 14. Debt service and common-equity dilution

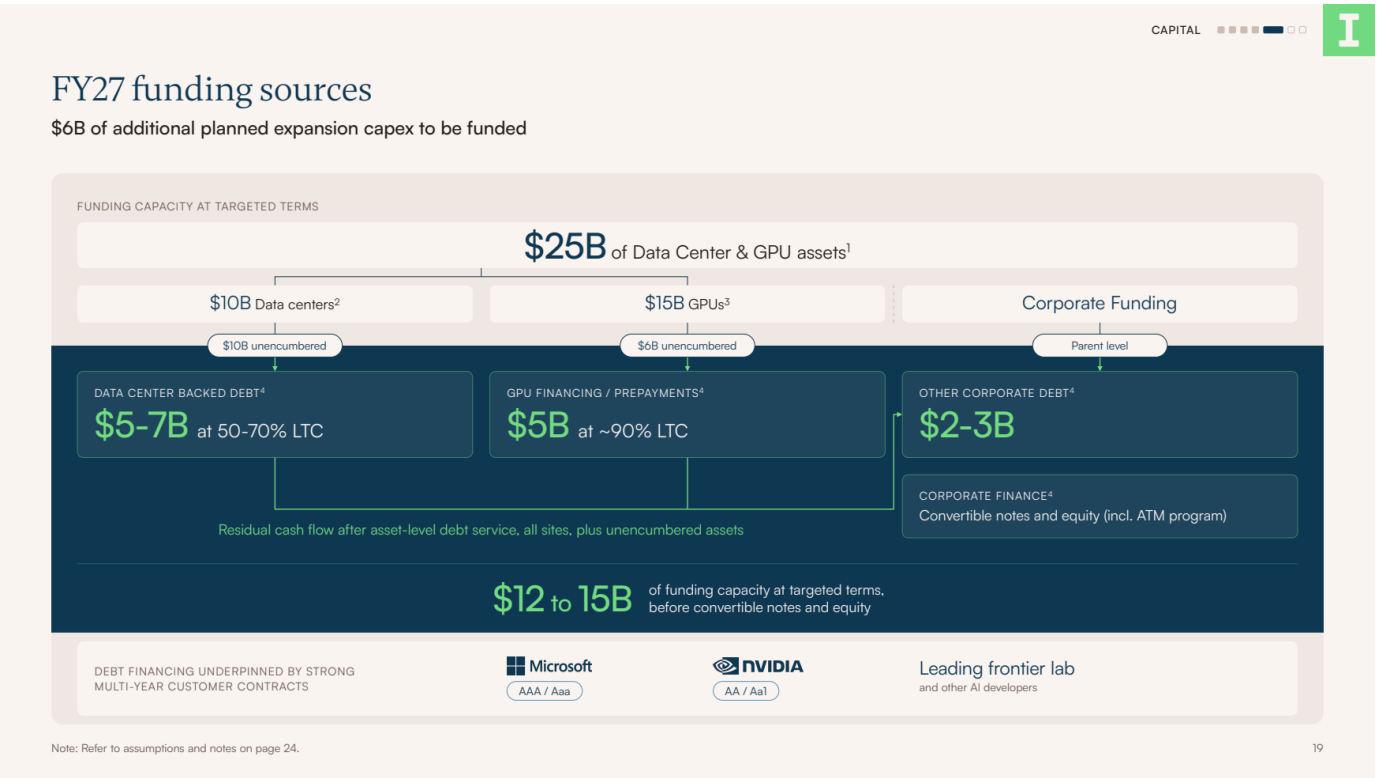
Existing debt principal follows the filed maturity schedule. New GPU credit amortizes over 12 quarters in the selected future financing assumption; data-center credit amortizes over 80 quarters. The committed 3157 million undrawn facility is tracked separately with 20-quarter modeled amortization. Backup corporate borrowing is finite and carries 11% interest plus fees.




*Debt principal, cumulative model financing equity and ending cash. All 24 funded paths retain a 750 million cash buffer under their stated conditional financing assumptions.*

| Calendar | Debt end | Principal paid | Cash interest | Equity new | Equity total | Start shares |
|---|---|---|---|---|---|---|
| Q4 '26 | 12,267.0 | 285.0 | 101.6 | 0.0 | 0.0 | 454.4 |
| Q1 '27 | 14,804.0 | 395.0 | 142.1 | 897.2 | 897.2 | 458.4 |
| Q2 '27 | 18,270.5 | 467.5 | 205.5 | 386.5 | 1,283.7 | 524.0 |
| Q3 '27 | 24,883.3 | 704.2 | 318.4 | 231.7 | 1,515.4 | 556.2 |
| Q4 '27 | 30,490.7 | 1,218.6 | 455.4 | 258.7 | 1,774.0 | 579.5 |
| Q1 '28 | 32,229.9 | 1,691.6 | 538.3 | 300.8 | 2,074.8 | 605.1 |
| Q2 '28 | 32,605.2 | 1,870.5 | 564.3 | 105.1 | 2,179.9 | 634.1 |
| Q3 '28 | 32,148.1 | 1,948.9 | 567.9 | 130.1 | 2,310.0 | 646.9 |
| Q4 '28 | 31,398.1 | 2,073.2 | 559.1 | 296.9 | 2,606.9 | 661.2 |
| Q1 '29 | 29,214.6 | 2,183.5 | 530.6 | 532.9 | 3,139.8 | 684.5 |
| Q2 '29 | 27,031.2 | 2,183.5 | 485.6 | 588.2 | 3,727.9 | 723.8 |
| Q3 '29 | 25,131.7 | 2,152.2 | 443.8 | 526.2 | 4,254.1 | 766.6 |
| Q4 '29 | 22,958.4 | 2,173.3 | 401.9 | 730.2 | 4,984.4 | 804.7 |
| Q1 '30 | 20,785.1 | 2,173.3 | 356.9 | 705.1 | 5,689.5 | 854.8 |
| Q2 '30 | 18,611.8 | 2,173.3 | 311.9 | 723.1 | 6,412.6 | 903.3 |
| Q3 '30 | 17,177.8 | 1,855.2 | 274.5 | 237.2 | 6,649.8 | 952.5 |
| Q4 '30 | 15,784.9 | 1,392.9 | 245.0 | 27.8 | 6,677.6 | 970.1 |

# 15. Conditional capital, share claims and funding limits




*Issuer presentation, page 19: indicative asset-backed and corporate financing capacity. Amounts and terms depend on market conditions and existing debt terms.*

The model reserves 2300 million gross under a conservative remaining-ATM proxy. Later additional equity is capped at 12,000 million gross from Q3 2027 and requires future registration and market access. This 12 billion ceiling is an analyst financing assumption. Actual modeled draws meet each quarter's calculated cash shortfall at fixed issue-price assumptions of 12,15.5 or 18 USD with 2% fees; they have no dependence on a calculated target.

Across the selected paths, total future equity requirements reach approximately 13,306 million gross, including the initial 2300 million pool. This creates substantial dilution. The cash model retains zero NVIDIA-right exercise proceeds. All 30 million conditional rights remain in economic shares from the first forecast quarter. Existing convertibles remain debt with cash principal/interest service under the sanctioned share convention.

The filing separately lists 127.225107 million potential convertible shares,5.050763 million options and 31.720097 million RSUs as loss-period anti-dilutive instruments. The forecast models future actual vesting and financing common shares explicitly. A full-conversion denominator sensitivity below adds the convertible potential shares while leaving the selected debt-service case visible. Future contract amendments, conversions and actual vested shares require reconciliation.

# 16. Deferred revenue, tax and recurring net income

| Calendar | Advances | Amortized | Deferred end | Finance component | AR end | Trade AP |
|---|---|---|---|---|---|---|
| Q4 '26 | 65.0 | 44.8 | 2,580.1 | 15.9 | 84.7 | 172.0 |
| Q1 '27 | 312.1 | 123.8 | 2,784.5 | 16.1 | 229.3 | 266.3 |
| Q2 '27 | 0.0 | 200.7 | 2,601.2 | 17.4 | 371.6 | 363.4 |
| Q3 '27 | 3,506.3 | 296.0 | 5,827.7 | 16.3 | 548.2 | 479.8 |
| Q4 '27 | 3,198.3 | 421.2 | 8,641.3 | 36.4 | 779.9 | 628.5 |
| Q1 '28 | 1,096.5 | 511.4 | 9,280.4 | 54.0 | 947.0 | 736.3 |
| Q2 '28 | 1,096.5 | 570.5 | 9,864.3 | 58.0 | 1,056.5 | 811.0 |
| Q3 '28 | 850.5 | 610.3 | 10,166.2 | 61.7 | 1,130.2 | 865.0 |
| Q4 '28 | 754.0 | 642.5 | 10,341.2 | 63.5 | 1,189.8 | 910.9 |
| Q1 '29 | 0.0 | 658.4 | 9,747.4 | 64.6 | 1,219.3 | 939.9 |
| Q2 '29 | 0.0 | 658.4 | 9,149.9 | 60.9 | 1,219.3 | 951.9 |
| Q3 '29 | 144.8 | 658.4 | 8,693.5 | 57.2 | 1,219.3 | 963.9 |
| Q4 '29 | 0.0 | 658.4 | 8,089.4 | 54.3 | 1,219.3 | 975.9 |
| Q1 '30 | 0.0 | 658.4 | 7,481.6 | 50.6 | 1,219.3 | 987.9 |
| Q2 '30 | 0.0 | 658.4 | 6,869.9 | 46.8 | 1,219.3 | 999.9 |
| Q3 '30 | 241.3 | 658.4 | 6,495.7 | 42.9 | 1,219.3 | 1,011.9 |
| Q4 '30 | 0.0 | 658.4 | 5,877.9 | 40.6 | 1,219.3 | 1,023.9 |

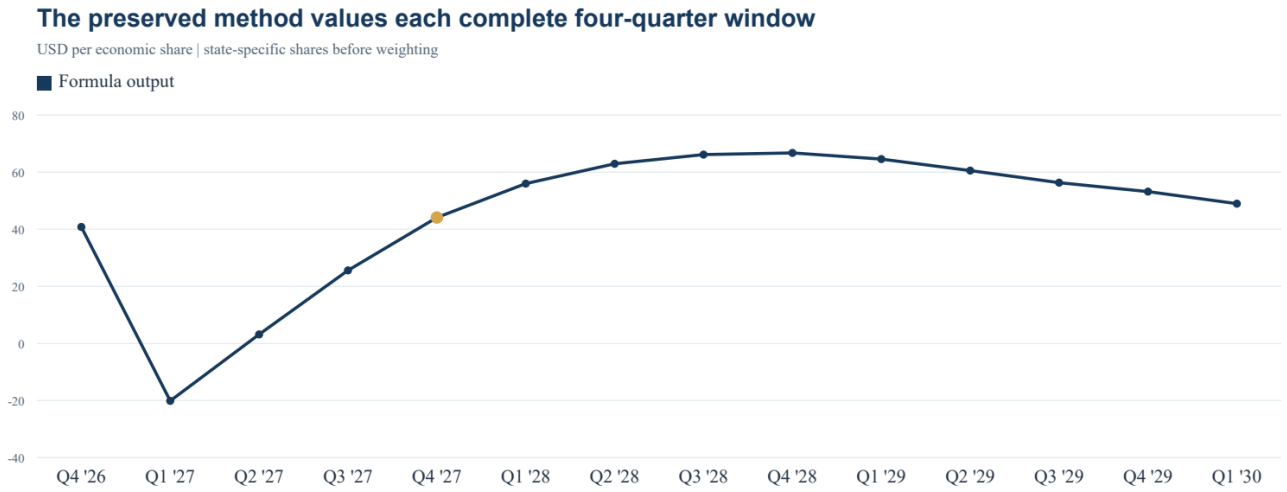
The financing component is a modeled 2.5% annual accrual on opening deferred revenue. Book tax uses 25% ofpositive recurring pretax income plus a 2 million near-term floor. Cash tax follows the same normalized rate and floor; no valuation-allowance release or unverified tax shield supplies cash or valued operating profit. Debt issuance fees amortize separately by each financing cohort.

# Recurring net income | financial and tax reconciliation

| Calendar | GAAP OP | Cash interest | Interest income | Finance component | Book tax | Net income |
|---|---|---|---|---|---|---|
| Q4 '26 | -430.5 | 101.6 | 30.8 | 15.9 | 2.0 | -528.9 |
| Q1 '27 | -360.4 | 142.1 | 13.6 | 16.1 | 2.0 | -517.7 |
| Q2 '27 | -341.8 | 205.5 | 6.6 | 17.4 | 2.0 | -574.2 |
| Q3 '27 | -188.7 | 318.4 | 6.6 | 16.3 | 0.0 | -538.6 |
| Q4 '27 | 19.5 | 455.4 | 19.0 | 36.4 | 0.0 | -482.1 |
| Q1 '28 | 167.1 | 538.3 | 26.6 | 54.0 | 0.0 | -430.1 |
| Q2 '28 | 256.2 | 564.3 | 19.0 | 58.0 | 0.6 | -381.6 |
| Q3 '28 | 263.6 | 567.9 | 16.9 | 61.7 | 1.0 | -385.9 |
| Q4 '28 | 370.3 | 559.1 | 15.7 | 63.5 | 4.5 | -278.7 |
| Q1 '29 | 392.9 | 530.6 | 15.1 | 64.6 | 6.3 | -231.1 |
| Q2 '29 | 377.9 | 485.6 | 11.9 | 60.9 | 8.2 | -202.5 |
| Q3 '29 | 281.8 | 443.8 | 9.6 | 57.2 | 6.1 | -253.6 |
| Q4 '29 | 349.3 | 401.9 | 8.0 | 54.3 | 12.5 | -149.3 |
| Q1 '30 | 339.3 | 356.9 | 7.4 | 50.6 | 15.2 | -113.9 |
| Q2 '30 | 324.3 | 311.9 | 6.8 | 46.8 | 18.4 | -80.9 |
| Q3 '30 | 190.2 | 274.5 | 6.6 | 42.9 | 12.0 | -160.6 |
| Q4 '30 | 312.7 | 245.0 | 6.6 | 40.6 | 28.3 | -15.7 |

# 17. Preserved rolling valuation

For each outcome, the model sums the current and next three quarters of revenue or adjusted OP, applies the sanctioned multiple, and divides by starting-quarter economic shares. It then probability weights the per-share outputs. The model retains the Q1 2027 fixed handoff. That particular forward OP window is negative, so its preserved arithmetic output is negative. The change in accounting basis creates a pronounced step between adjacent windows.




*Fourteen complete current/future rolling windows. The highlighted Q4 2027 point is the active calculated ceiling.*

| Start quarter | Window ends | Basis | F4Q metric | Avg start shares | Output USD |
|---|---|---|---|---|---|
| Q4 '26 | Q3 '27 | 5× sales | 3,706.4 | 454.4 | 40.79 |
| Q1 '27 | Q4 '27 | 20× adj OP | -461.4 | 458.4 | -20.13 |
| Q2 '27 | Q1 '28 | 20× adj OP | 56.1 | 524.0 | 3.15 |
| Q3 '27 | Q2 '28 | 20× adj OP | 644.1 | 556.2 | 25.57 |
| Q4 '27 | Q3 '28 | 20× adj OP | 1,146.4 | 579.5 | 44.09 |
| Q1 '28 | Q4 '28 | 20× adj OP | 1,487.2 | 605.1 | 55.97 |
| Q2 '28 | Q1 '29 | 20× adj OP | 1,702.9 | 634.1 | 62.92 |
| Q3 '28 | Q2 '29 | 20× adj OP | 1,814.6 | 646.9 | 66.13 |
| Q4 '28 | Q3 '29 | 20× adj OP | 1,852.8 | 661.2 | 66.72 |
| Q1 '29 | Q4 '29 | 20× adj OP | 1,821.8 | 684.5 | 64.56 |
| Q2 '29 | Q1 '30 | 20× adj OP | 1,758.1 | 723.8 | 60.53 |
| Q3 '29 | Q2 '30 | 20× adj OP | 1,694.5 | 766.6 | 56.30 |
| Q4 '29 | Q3 '30 | 20× adj OP | 1,653.0 | 804.7 | 53.17 |
| Q1 '30 | Q4 '30 | 20× adj OP | 1,606.4 | 854.8 | 48.95 |

Weighted metric and average share columns support reconciliation. The selected output weights division within each state, preserving the relation between performance and dilution. The operating forecast ends Q4 2030; Q1 2030 is the last complete forward-four-quarter window. The model uses the retained operating-equity proxy and explicitly carries financing and debt-service diagnostics.

# 18. Funding and denominator sensitivities

| Unselected stress | Max cash-buffer gap | Gross equity used | Backup used |
|---|---|---|---|
| AP500 | 0.0 | 13,508.3 | 946.8 |
| AP1000 | 0.0 | 13,713.7 | 1,469.4 |
| no uncommitted | 10,813.4 | 14,300.0 | 0.0 |
| no equity | 12,369.0 | 0.0 | 3,000.0 |

The selected financial path uses finite conditional capital. The no-uncommitted and no-equity stresses retain the resulting cash gaps. A 500 or 1000 million net capital-payable settlement adds a separate cash burden. These stresses carry zero selected weight and provide revision triggers for a new coherent financing/capacity case.

| Q4 2027 denominator diagnostic | Output USD |
|---|---|
| Selected state-specific economic-share method | 44.09 |
| Add 127.225107 million potential convertible shares; existing debt-service case retained | 35.43 |

The conversion calculation isolates denominator exposure. An actual conversion would also change contractual debt claims, coupon payments, taxes and cash requirements and would need a complete updated bridge. Further ATM authorization, issued shares, financing terms and customer advance receipts remain decisive monitoring items.

# 19. Revision triggers and thesis-break conditions

| Required evidence | Specific reassessment trigger |
|---|---|
| Customer acceptance | Initial 0.3 GW program extends beyond February or material service credits emerge |
| Cloud cash realization | Reported revenue or collections materially below capacity/contract recognition assumptions |
| Cash operating cost | December cash opex outside 168–178 million or platform costs exceed modeled leverage |
| Equipment cost and life | Higher marginal GPU cost than 40–44 million/IT MW; shorter life than 5 years; recurring retrofit writeoffs |
| Financing availability | Committed draw/escrow conditions fail; new debt/prepay terms fall below selected path |
| New common shares | Issue prices below 12/15.5/18 assumptions, delayed registration or funding pool exhaustion |
| Data-center delivery | Readiness fails to support the selected end 2027 GPU/0.8 GW roadmap |
| Pricing and renewals | New contract terms contradict 20–23.8 million incremental annual revenue/IT MW |
| Legacy service performance | Measured outages, credits, customer churn or validated remediation change bounded Canadian risk |
| Long-term expansion | Additional secured site, procurement, customer and funding evidence supports deployment beyond the capped path |

Five risk classes cover commissioning and suppliers; financing/dilution; customer concentration and reliability; hardware obsolescence/renewal economics; and grid, regulation and competition. The selected forecast models those exposures through common coherent outcomes and explicit costs. A severe funding failure would require a slower operating plan or restructuring of obligations.

# 20. Source record and completeness

The newest two management calls were read in full, including prepared remarks and management answers through the operator close: Q1 FY2027 on November 5 and Q4 FY2026 on August 27. Quartr/TradingView supplied the transcripts. Audio was not independently listened to. The issuer release, full financial tables, 32-page presentation and SEC 10-Q and 10-K originals were preserved with hashes.

| Source | Locator / date |
|---|---|
| Q1 FY27 release | iren.gcs-web.com/static-files/8b5ff1cc-4a7c-444d-a3bf-bf5a621cf4b7 \| Nov5,2026 |
| Q1 FY27 presentation | iren.gcs-web.com/static-files/f80da6ea-9d04-489c-ba7f-52f4b38e6680 \| Nov5,2026 |
| Quarterly financials | sec.gov/Archives/edgar/data/1878848/000187884826000066/iren-20260930.htm |
| Annual financials | sec.gov/Archives/edgar/data/1878848/000187884826000052/iren-20260630.htm |
| Newest full call | Quartr 4479981 \| Q1 FY2027 \| Nov 5,2026 |
| Previous full call | Quartr 4106945 \| Q4 FY2026 \| Aug 27,2026 |
| Retained service-risk context | SemiAnalysis Oct 7 source chain; original images unavailable in prior record |

Future customer names and MW allocations, specific post-quarter contract volumes, precise future GPU mix, cancellation costs, financing baskets, equity registration and future credit terms remain incompletely disclosed. Opening capital payables and parts of the asset/service allocation are model proxies. The full financial model preserves those assumptions and tests cash and share exposure explicitly.

Competition disclosures include hyperscalers and specialist cloud providers. Their broad customer and capital relationships can overlap with IREN’s suppliers and customers. No automatic new coverage admission or competitive revenue-transfer assumption follows from that list. Display figures are rounded; the linked model retains exact values and source identities.